

Difficulties faced by a Retail Investor



Resources

Institutional investors have access to premium resources, including access to expensive financial data subscriptions such as Bloomberg, Capital Line, and many more. Also, they gain insights from sell-side research, which means that many brokers who wish to get large investors' businesses provide them with free research in exchange for brokerage.

Level of Training

Institutional analysts are often C.A., M.B.A., or C.F.A., and the organization for which they work, continuously spends on refining their skills. Thus, Institutional analysts have a higher degree of training as compared to retail investors. Retail Investors may be qualified professionals such as doctors and lawyers but many lack the required financial understanding.

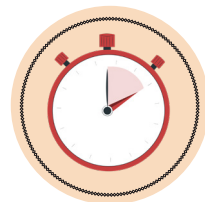


Access to Information

Institutional investors put up large amounts of money and therefore get direct access to the management of publicly traded corporations. For Instance, when an institutional investor likes a company with a market Capitalization of 1000 crores, they are capable of contacting and communicating with the CEO, CFO or MD directly. However, as retail investors, it becomes difficult to get direct access to management of the company because the cheque size is quite less comparatively.

Time put in Research

If a retail investor spends 4 - 5 hrs. per week on research, then an institutional investor spends 40 to 50 hours per week on research, which allows them to have an in-depth understanding of each company that they want to invest in. They conduct a much deeper analysis as compared to retail investors due to the time they've put in.



- We first need to acknowledge these differences and the fact that there is no way to overcome them.
- We can't raise the amount of time we put in or modify our access to information as retail investors, but we can certainly use effective techniques to systematically address these concerns in such a way that risk and return are properly handled.
- In this book, we will talk particularly about how you can go about things as a retail investor, keeping the constraints in mind.